EPSO AD5 2026 · EU KNOWLEDGE TEST



Understanding the EU

A study companion in nine episodes, written to be read aloud as a podcast

Facts checked against official and recent sources

Situation as of 11 November 2026

Independent study material. Not produced by or affiliated with EPSO or the EU institutions.

Contents

How to use this guide

Episode 1 – From coal and steel to a union of 27

Episode 2 – The treaties and the rules of the game

Episode 3 – The seven institutions

Episode 4 – How the EU makes laws

Episode 5 – Money: the EU budget

Episode 6 – The euro and economic governance

Episode 7 – The main policies and the current agenda

Episode 8 – Who’s who, and what to watch

Episode 9 – Quick-fire quiz

Sources

How to use this guide

This is a study companion for the EU knowledge test in the 2026 EPSO graduate competition for administrators (AD5, reference EPSO/AD/427/26). It is written to be read aloud: each chapter is a self-contained “episode” of about 10 to 15 minutes, in plain spoken English, and ends with a short recap you can use as the outro.

Everything here reflects the situation on 11 November 2026. The institutions and the treaties change slowly, but people, budgets and policies move quickly. Where something is still being negotiated, the guide says so. Before the test, check the news for anything that changed after this date, especially the items flagged in Episode 8.

The test in one minute

- 30 multiple-choice questions in 40 minutes, taken in your Language 2 (your second language, not your main one).
- Pass mark: 15 out of 30. It is part of Part 2 of the competition, expected in 2027.
- It counts for 30% of the preliminary ranking and 25% of the final ranking. Verbal reasoning and the digital skills test make up the rest of the preliminary score; the written essay (EUFTE) is added at the final stage.
- The official notice says the test covers “the European Union, its institutions, procedures and main policies”.
- EPSO publishes the sources it draws on about two months before the test. The current reference set is a group of official EU publications, listed in the Sources section at the end of this guide.

The episodes run from the big picture to the detail: why the EU exists and how it grew; the treaties and legal principles; the seven institutions; how laws and the budget are made; the euro and economic governance; the main policies; and the current agenda. The last episode is a quick-fire quiz you can record as a separate short episode.

Episode 1 · From coal and steel to a union of 27

The European Union began as a peace project built on economics. On 9 May 1950 the French foreign minister Robert Schuman proposed putting French and German coal and steel production under a common authority. The idea was simple and radical: if the raw materials of war were managed together, war between the two countries would become, in his words, “not merely unthinkable, but materially impossible”. That date is now celebrated as Europe Day.

In 1951 six countries signed the Treaty of Paris creating the European Coal and Steel Community: Belgium, France, West Germany, Italy, Luxembourg and the Netherlands. These six are the founding members. In March 1957 the same six signed the Treaties of Rome, creating the European Economic Community and Euratom, the atomic energy community. The Economic Community set out to build a common market where goods, people, services and capital could move freely. 2027 will mark the 70th anniversary of the Treaties of Rome.

Growing wider

Membership grew in waves. Denmark, Ireland and the United Kingdom joined in 1973. Greece followed in 1981, and Spain and Portugal in 1986. Austria, Finland and Sweden joined in 1995. The largest single enlargement came in 2004, when ten countries joined: Cyprus, Czechia, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia and Slovenia. Bulgaria and Romania followed in 2007, and Croatia, the most recent member, in 2013. The United Kingdom left on 31 January 2020, the only country ever to withdraw, which brought the Union to its current 27 members.

Growing deeper

At the same time the Union took on more tasks. In 1979 citizens elected the European Parliament directly for the first time. The Single European Act of 1986 set the goal of completing the single market by the end of 1992 and extended majority voting to make that possible. The Maastricht Treaty, in force from November 1993, created the European Union itself, introduced EU citizenship and set the path to a single currency. The euro arrived in 1999 for banks and markets, and as notes and coins on 1 January 2002.

The Treaties of Amsterdam and Nice adjusted the machinery for a bigger Union. Then the Treaty of Lisbon, in force since 1 December 2009, created the structure we have today. It made the European Council a formal institution with a permanent President, created the High Representative for Foreign Affairs and Security Policy, made the Charter of Fundamental Rights legally binding, gave the European Parliament equal law-making power with the Council in most areas, and added the first procedure for a country to leave the Union, Article 50.

Alongside the treaties, the Schengen agreement of 1985 grew into a large area without internal border checks. Today it has 29 members: 25 EU countries plus Iceland, Liechtenstein, Norway and Switzerland. Bulgaria and Romania became full members in January 2025. Ireland and Cyprus are EU members outside Schengen.

Recap: Episode 1

- 9 May 1950: Schuman Declaration (Europe Day). 1951: coal and steel community of six. 1957: Treaties of Rome.
- Enlargements: 1973, 1981, 1986, 1995, 2004 (ten countries), 2007, 2013. The UK left on 31 January 2020. 27 members today.
- Maastricht (1993) created the EU and EU citizenship. Lisbon (2009) created today’s structure and made the Charter binding.
- Schengen has 29 members, including four non-EU countries. Ireland and Cyprus are outside it.

Episode 2 · The treaties and the rules of the game

The EU is founded on two main treaties of equal value. The Treaty on European Union, the TEU, sets out values, principles, the institutions and foreign policy. The Treaty on the Functioning of the European Union, the TFEU, sets out the detail of what the Union does and how. Together with the Charter of Fundamental Rights, which has the same legal value as the treaties, they form the EU's "constitution" in all but name.

Values and the Article 7 procedure

Article 2 of the TEU lists the Union's values: respect for human dignity, freedom, democracy, equality, the rule of law and human rights, including the rights of minorities. Article 7 provides a procedure for when a member state risks breaching these values seriously. In its most severe form, after the European Council unanimously finds a serious and persistent breach, the Council can suspend some of that country's rights, including its voting rights in the Council.

Who can do what: competences

The EU only has the powers the member states give it in the treaties. This is the principle of conferral. Two further principles, both in Article 5 TEU, govern how those powers are used. Subsidiarity means that in areas where the EU shares power with the member states, it acts only if the goal can be better achieved at EU level. Proportionality means EU action must not go beyond what is needed.

The treaties sort policy areas into three main types. In areas of exclusive competence, only the EU can legislate: the customs union, competition rules for the internal market, monetary policy for euro countries, the conservation of marine biological resources under the fisheries policy, and the common commercial policy, meaning trade. In areas of shared competence, both can act, but member states may only legislate where the EU has not; examples are the internal market, the environment, energy, transport, agriculture and consumer protection. In supporting areas, the EU can only support or coordinate national action; examples are health protection, culture, tourism, education and sport. Foreign and security policy follows its own special rules, mostly by unanimity.

Types of EU law

Article 288 TFEU defines the legal acts. A regulation is binding in its entirety and directly applicable in every member state, with no need for national laws. A directive is binding as to the result to be achieved, but each member state chooses how to put it into national law, by a deadline. A decision is binding on those to whom it is addressed. Recommendations and opinions are not binding.

Two court rulings from the 1960s shaped how EU law works. In Van Gend en Loos (1963) the Court of Justice established direct effect: individuals can rely on EU law before national courts. In Costa v ENEL (1964) it established primacy: where EU law and national law conflict, EU law prevails.

Joining, leaving and changing the treaties

- **Joining (Article 49 TEU):** any European country that respects the Union's values can apply. The Council decides unanimously after the European Parliament gives its consent, and the accession treaty must be ratified by every member state and the candidate.
- **Leaving (Article 50 TEU):** a country notifies the European Council; a withdrawal agreement is negotiated, and the treaties stop applying after two years unless that period is extended. The UK is the only country to have used it.
- **Changing the treaties (Article 48 TEU):** amendments normally need a conference of governments and ratification by all member states.
- **Mutual assistance (Article 42(7) TEU):** if a member state is the victim of armed aggression on its territory, the others must help it by all means in their power.

Recap: Episode 2

- Two treaties of equal value (TEU and TFEU) plus the Charter of Fundamental Rights.
- Conferral, subsidiarity and proportionality: Article 5 TEU.
- Exclusive competences include trade, the customs union, competition rules and monetary policy for the euro.
- Regulation: applies directly. Directive: sets the result, member states choose how. Decision: binds those it is addressed to.
- Direct effect (Van Gend en Loos, 1963) and primacy (Costa v ENEL, 1964).
- Article 49 to join, Article 50 to leave, Article 7 for serious breaches of values.

Episode 3 · The seven institutions

Article 13 of the TEU names seven institutions. A good way to remember them is by the interest each represents: the Parliament represents citizens, the Council represents national governments, the Commission represents the general interest of the Union, and the European Council gives political direction. The Court of Justice, the European Central Bank and the Court of Auditors complete the list.

1. The European Parliament

The Parliament is directly elected every five years. Since the 2024 elections it has 720 members (MEPs). Seats are shared out by population with a floor of 6 seats (Cyprus, Luxembourg and Malta) and a ceiling of 96 (Germany). MEPs sit in political groups, not national delegations. After the 2024 elections the groups were, from largest: the European People's Party (EPP), the Socialists and Democrats (S&D;), Patriots for Europe, the European Conservatives and Reformists (ECR), Renew Europe, the Greens/European Free Alliance, The Left, and Europe of Sovereign Nations, plus non-attached members.

The Parliament shares law-making and budget powers with the Council, gives or refuses consent to international agreements and accessions, and holds the Commission to account. It elects the Commission President, approves the whole College of Commissioners in a single vote after hearings, and can force the Commission to resign with a motion of censure, which needs two thirds of the votes cast, representing a majority of all MEPs. Roberta Metsola has been President of the Parliament since 2022 and was re-elected in July 2024; the post is normally renewed at mid-term, in early 2027. Plenary sessions are held in Strasbourg, committee work happens mostly in Brussels, and the secretariat is in Luxembourg.

2. The European Council

The European Council brings together the heads of state or government of the 27 member states, its own President and the President of the Commission. The High Representative takes part in its work. It sets the Union's general direction and priorities, but it does not pass laws. It usually decides by consensus, though some decisions, such as proposing the Commission President, are taken by qualified majority. Its President is elected for two and a half years, renewable once. António Costa, a former Portuguese prime minister, has held the post since 1 December 2024; his first term runs to the end of May 2027, and a renewal is expected to be decided in 2027.

3. The Council of the European Union

The Council, often simply called "the Council", is where national ministers meet. It has ten configurations, such as agriculture and fisheries, economic and financial affairs (ECOFIN), or foreign affairs. Together with the Parliament it adopts laws and the budget; it also coordinates national policies and leads on foreign and security policy. Do not confuse it with the European Council, which is the leaders, or with the Council of Europe, which is a separate organisation in Strasbourg that is not part of the EU.

The presidency of the Council rotates between member states every six months, and three consecutive presidencies, a "trio", agree a common programme. Cyprus held the presidency in the first half of 2026. Ireland holds it from July to December 2026, followed by Lithuania (January to June 2027) and Greece (July to December 2027). The Foreign

Affairs Council is the exception: it is chaired by the High Representative.

Most decisions are taken by qualified majority voting. A qualified majority needs 55% of member states, which is 15 of the 27, representing at least 65% of the EU population. A blocking minority must include at least four member states. When the Council acts on a proposal that does not come from the Commission or the High Representative, a reinforced qualified majority applies: 72% of member states representing 65% of the population. Unanimity is still required in sensitive areas such as taxation, foreign and security policy, accession of new members and the long-term budget.

4. The European Commission

The Commission is the EU's executive. It has one member from each country, 27 in all, appointed for five years. It has an almost exclusive right to propose new laws, it manages the budget and EU programmes, it represents the Union in trade and many international negotiations, and it is the "guardian of the treaties": it can take a member state to the Court of Justice for failing to apply EU law, through infringement proceedings.

The appointment process shows how the institutions interlock. Taking account of the European elections, the European Council proposes a candidate for President by qualified majority. The Parliament elects the candidate by a majority of its members. The member states, in agreement with the President-elect, propose the other Commissioners, who face hearings in parliamentary committees. The Parliament then approves the College as a whole, and the European Council formally appoints it.

Ursula von der Leyen is serving her second term as President; the current College took office on 1 December 2024. Kaja Kallas of Estonia is High Representative for Foreign Affairs and Security Policy and a Vice-President. There are five other Executive Vice-Presidents: Teresa Ribera (Spain, clean, just and competitive transition), Henna Virkkunen (Finland, digital and frontier technologies), Stéphane Séjourné (France, prosperity and industrial strategy), Roxana Mînzatu (Romania, social rights, skills and preparedness) and Raffaele Fitto (Italy, cohesion and reforms).

5. The Court of Justice of the European Union

The Court of Justice of the EU, based in Luxembourg, ensures that EU law is interpreted and applied the same way everywhere. It has two courts. The Court of Justice has one judge per member state, assisted by eleven Advocates General who give independent opinions. The General Court has two judges per member state and hears, among other things, cases brought by individuals and companies, such as competition cases. Since October 2024 the General Court has also handled some requests for preliminary rulings in specific technical areas.

The main types of case are worth knowing by name. In a preliminary ruling (Article 267 TFEU), a national court asks the Court how EU law should be interpreted; this is how most landmark rulings arise. Infringement proceedings (Article 258) are brought by the Commission against a member state. An action for annulment (Article 263) asks the Court to cancel an EU act. An action for failure to act (Article 265) challenges an institution that should have acted but did not.

6. The European Central Bank

The European Central Bank, in Frankfurt, runs monetary policy for the euro area. Its primary objective, set in the treaty, is price stability, which it defines as 2% inflation over the medium term. It is independent of governments and of the other institutions. Its Executive Board has six members appointed for a single eight-year term. Its Governing Council, which sets interest rates, is made up of the Executive Board plus the governors of the national central banks of the euro countries.

Christine Lagarde has been ECB President since November 2019. In October 2026 she announced she will step down on 7 February 2027, about nine months before her term was due to end. Her successor is appointed by the European Council by qualified majority, on a recommendation from the Council and after consulting the European Parliament and the ECB's Governing Council. Check the news for who has been chosen.

7. The European Court of Auditors

The Court of Auditors, also in Luxembourg, is the EU's external auditor. It has one member per member state, appointed for six years. It checks that EU money is raised and spent correctly and gives value for money, publishes an annual report on the EU budget, and gives a "statement of assurance" on the reliability of the accounts. It has no legal powers of its own; when it suspects fraud it refers the case to the anti-fraud office, OLAF, or the European Public Prosecutor's Office.

Other bodies worth knowing

- **Advisory bodies:** the European Economic and Social Committee (employers, workers and civil society) and the European Committee of the Regions (regional and local authorities) must be consulted on many proposals.
- **European Investment Bank:** the EU's bank, owned by the member states, which lends for EU objectives.
- **European Ombudsman:** investigates complaints about maladministration by EU institutions. Elected by the Parliament.
- **European External Action Service (EEAS):** the EU's diplomatic service, led by the High Representative.
- **European Public Prosecutor's Office (EPPO):** prosecutes crimes against the EU budget in participating member states.
- **Agencies:** more than 30 decentralised agencies, such as Frontex (borders, Warsaw), the European Medicines Agency (Amsterdam), Europol (The Hague) and the EU Agency for Asylum (Malta).

Recap: Episode 3

- Seven institutions: Parliament, European Council, Council, Commission, Court of Justice, ECB, Court of Auditors.
- Parliament: 720 MEPs, elected every five years, President Roberta Metsola.
- European Council: leaders, sets direction, no laws. President António Costa (since 1 December 2024).
- Council: ministers, ten configurations, presidency rotating every six months. Ireland now, then Lithuania and Greece in 2027.
- Qualified majority: 55% of states (15 of 27) and 65% of the population; blocking minority at least four states.
- Commission: 27 members, right of initiative, guardian of the treaties. President Ursula von der Leyen; High Representative Kaja Kallas.
- ECB: price stability, 2% target. Christine Lagarde leaves on 7 February 2027.

Episode 4 · How the EU makes laws

Most EU laws today are adopted by the ordinary legislative procedure, set out in Article 294 TFEU. It treats the Parliament and the Council as equal co-legislators. It works like this.

- **Proposal.** The Commission drafts and proposes a law, usually after consultation and an impact assessment. The Parliament and the Council can ask it to make a proposal, and so can citizens through a European Citizens' Initiative, but the decision to propose stays with the Commission.
- **First reading.** The Parliament adopts its position. If the Council approves that position, the law is adopted. If not, the Council adopts its own position and sends it to the Parliament.
- **Second reading.** The Parliament has three months, extendable by one, to approve, reject or amend the Council's position. The Council then considers any amendments.
- **Conciliation.** If they still disagree, a conciliation committee with equal numbers from each side has six weeks to agree a joint text, which both must then approve in a third reading.

In practice almost all files are now agreed at first or early second reading, through informal negotiations called trilogues between representatives of the Parliament, the Council and the Commission. A provisional deal from a trilogue still has to be formally adopted by both co-legislators.

Two details often appear in tests. First, the Council normally decides by qualified majority in this procedure, but if it wants to amend a Commission proposal in a way the Commission does not accept, it needs unanimity. Second, national parliaments can check whether a proposal respects subsidiarity. If a third of national parliament votes object, the "yellow card", the Commission must review the proposal; under the ordinary procedure, a simple majority triggers an "orange card" with a stronger review.

Special legislative procedures

In some areas the treaties give the Council the main role. Under the consultation procedure the Council decides, usually unanimously, after receiving the Parliament's opinion; taxation is an example. Under the consent procedure the Parliament can approve or reject but not amend; this applies to international agreements such as trade deals, to accessions of new members, to the long-term budget and to the Article 7 procedure.

After a law is adopted

Laws often leave technical details to be filled in later. The Commission can be empowered to adopt delegated acts, which supplement or amend non-essential parts of a law, under scrutiny by the Parliament and the Council (Article 290 TFEU). It also adopts implementing acts, which set uniform conditions for applying a law, usually after a vote in a committee of national experts; this system is known as comitology (Article 291 TFEU).

The European Citizens' Initiative

One million EU citizens from at least seven member states can invite the Commission to propose a law on a matter within its powers. The Commission must reply and explain what

it will do and why, but it is not obliged to propose legislation.

Recap: Episode 4

- Ordinary legislative procedure (Article 294 TFEU): Commission proposes; Parliament and Council decide as equals.
- Up to three readings, with conciliation before the third. Most deals are reached early, in trilogues.
- Council amends a Commission proposal against the Commission’s wishes only by unanimity.
- Consultation: Parliament gives an opinion. Consent: Parliament says yes or no (trade agreements, accessions, long-term budget).
- Delegated acts (Article 290) and implementing acts (Article 291, comitology).
- Citizens’ Initiative: one million signatures from seven member states.

Episode 5 · Money: the EU budget

The EU budget is small compared with national budgets, at around 1% of the Union's gross national income, but it is mostly an investment budget. It is planned at two levels.

The Multiannual Financial Framework, the MFF, sets spending ceilings for seven years. It is adopted by the Council unanimously after the European Parliament gives its consent (Article 312 TFEU). The current framework covers 2021 to 2027 and is worth about 1.07 trillion euros in 2018 prices, on top of which NextGenerationEU, the recovery instrument created after the pandemic, added 750 billion euros in 2018 prices, financed by EU borrowing. Its centrepiece is the Recovery and Resilience Facility, which pays member states when they reach agreed reform and investment milestones.

Each year, the Parliament and the Council adopt an annual budget within those ceilings through a special procedure (Article 314 TFEU). If they disagree, a conciliation committee has 21 days to find a joint text. The money comes from "own resources": customs duties, a share of VAT, a contribution based on non-recycled plastic packaging waste, and above all national contributions based on gross national income. The rules on own resources need unanimity and ratification by every member state (Article 311 TFEU).

The next budget: 2028 to 2034

In July 2025 the Commission proposed a reshaped framework for 2028 to 2034. Its main idea is to merge many programmes into a smaller number of large instruments: one National and Regional Partnership Plan per member state, combining money for cohesion, agriculture, fisheries, migration and security; a European Competitiveness Fund; and a single external action instrument, Global Europe. The proposal also includes new own resources and plans for repaying the NextGenerationEU debt.

Negotiations are well under way but not finished. The Parliament has called for a larger budget than the Commission proposed and wants separate guaranteed money for agriculture and cohesion. Member states are split between those who want a smaller, more modern budget and the "friends of cohesion". The Cyprus presidency produced a negotiating box with figures in June 2026, slightly below the Commission's proposal, and the Irish presidency is taking it forward. Leaders aimed for agreement by the end of 2026, but that timetable is now in doubt. Follow the December 2026 European Council for the latest.

Recap: Episode 5

- Long-term budget (MFF): seven years, Council unanimity plus Parliament consent (Article 312).
- Annual budget: Parliament and Council, 21-day conciliation (Article 314).
- NextGenerationEU: 750 billion euros (2018 prices), borrowed; its core is the Recovery and Resilience Facility.
- Own resources need unanimity and national ratification (Article 311).
- 2028–2034 proposal (July 2025): national and regional partnership plans, a Competitiveness Fund, Global Europe. Still being negotiated.

Episode 6 · The euro and economic governance

On 1 January 2026 Bulgaria adopted the euro, becoming the 21st member of the euro area. Countries that join must meet the convergence criteria on inflation, public finances, exchange rate stability and long-term interest rates. Denmark has a legal opt-out from the euro; the other non-euro members are expected to join once they meet the criteria.

Because euro countries share a currency but run their own budgets, the EU coordinates economic and fiscal policy. The Stability and Growth Pact sets reference values of 3% of GDP for government deficits and 60% of GDP for public debt. Reformed rules in force since April 2024 give each country a medium-term fiscal-structural plan with a path for net expenditure, rather than one-size-fits-all annual targets. Countries with excessive deficits can be placed in the excessive deficit procedure. To allow more defence spending, member states were able to request the activation of a “national escape clause” in 2025.

The European Semester is the annual cycle in which the Commission analyses each country’s economy and budget and the Council adopts country-specific recommendations. The Eurogroup, an informal meeting of euro-area finance ministers, prepares euro-related decisions. The banking union adds common supervision of the largest banks by the ECB (the Single Supervisory Mechanism) and a common system for winding down failing banks (the Single Resolution Mechanism). The European Stability Mechanism can lend to euro countries in difficulty.

Recap: Episode 6

- Bulgaria joined the euro on 1 January 2026: 21 euro countries.
- Stability and Growth Pact: 3% deficit, 60% debt. Reformed rules since April 2024 use national medium-term plans.
- European Semester: annual cycle ending in country-specific recommendations.
- Banking union: ECB supervision (SSM) and common resolution (SRM).

Episode 7 · The main policies and the current agenda

The Union's political priorities for 2024 to 2029 come from the European Council's Strategic Agenda, organised around three ideas: a free and democratic Europe, a strong and secure Europe, and a prosperous and competitive Europe. The Commission turns these into concrete programmes. Here is where the main policy areas stand.

Competitiveness and simplification

Competitiveness has been the dominant theme of the current Commission, following Mario Draghi's 2024 report on Europe's economic future. The Competitiveness Compass (January 2025) and the Clean Industrial Deal (February 2025) set out how to close the innovation gap with the United States and China while decarbonising industry. A major strand is simplification: the Commission has proposed a series of "omnibus" packages trimming reporting and other obligations, and in the 2026 State of the Union President von der Leyen pointed to twelve omnibuses that could cut administrative costs by 17 billion euros a year. The Savings and Investments Union aims to channel Europeans' savings into productive investment.

Climate and energy

The European Climate Law commits the EU to climate neutrality by 2050. In 2026 it was amended to add a binding intermediate target: a 90% cut in net greenhouse gas emissions by 2040 compared with 1990. From 2036, up to five percentage points of that cut can come from high-quality international carbon credits. The same deal postponed the new emissions trading system for buildings and road transport, ETS2, by one year, to 2028. The Carbon Border Adjustment Mechanism, which puts a carbon price on certain imports such as steel, cement and aluminium, entered its definitive phase in January 2026.

Digital

The Digital Services Act and the Digital Markets Act regulate online platforms and the largest "gatekeeper" companies. The AI Act, the world's first comprehensive law on artificial intelligence, takes a risk-based approach: banned practices (in force since February 2025), obligations for general-purpose AI models (since August 2025), transparency duties (since August 2026) and stricter rules for high-risk systems. A "Digital Omnibus" adopted in 2026 postponed the high-risk obligations, to December 2027 for uses such as recruitment and education and to August 2028 for AI built into regulated products. In the 2026 State of the Union the Commission announced an EU Kids Act to protect children online, including a proposed ban on social media for under-13s.

Security and defence

Russia's war against Ukraine has transformed EU defence policy. The White Paper on European Defence and the ReArm Europe / Readiness 2030 plan of March 2025 aim to mobilise up to 800 billion euros for defence. Its main EU instrument, SAFE (Security Action for Europe), adopted in May 2025, provides up to 150 billion euros in loans for joint procurement; the first loans were approved in early 2026. Andrius Kubilius is the first Commissioner with a dedicated defence portfolio. In the 2026 State of the Union, the Commission proposed a European Security Council with partners including the United

Kingdom, Norway, Canada and Ukraine.

Ukraine and Russia

The EU has supported Ukraine financially, militarily and politically since 2022, and has adopted successive packages of sanctions against Russia. In December 2025 leaders agreed a loan of 90 billion euros for Ukraine's needs in 2026 and 2027, financed by EU borrowing and backed by the EU budget, rather than the "reparations loan" based on immobilised Russian central bank assets that had been debated. The legislation was finalised in April 2026 under enhanced cooperation among 24 member states. Two thirds of the loan is for Ukraine's defence capacity and one third for budget support, and it is to be repaid from the reparations Russia owes Ukraine.

Migration and borders

The Pact on Migration and Asylum, adopted in 2024, entered into application on 12 June 2026. It introduces mandatory screening of people arriving irregularly, a border procedure for applicants unlikely to qualify for protection, clearer rules on which country is responsible for an asylum application, and a permanent solidarity mechanism in which member states either relocate applicants or contribute financially. At the external borders, the Entry/Exit System, which records non-EU visitors' biometrics and entry and exit dates, has been fully operational since 10 April 2026. The ETIAS travel authorisation for visa-free visitors is due to start in the last quarter of 2026.

Enlargement

Enlargement is back at the top of the agenda. The Commission's November 2026 enlargement package reports that Montenegro, the frontrunner, has provisionally closed 21 of its 33 negotiating chapters and could sign an accession treaty in 2027. Albania has opened all its negotiating clusters and aims to finish talks in 2027. Ukraine and Moldova have opened further clusters and, according to the Commission, now meet the conditions to open all the remaining ones; Moldova aims to finish in early 2028 and Ukraine by the end of 2028. Serbia has made little progress, Georgia's process is described as "de facto halted", North Macedonia is held up by constitutional changes it committed to make, and Türkiye's talks have been frozen since 2018. Marta Kos is the Commissioner for enlargement.

Trade

Trade is an exclusive EU competence, negotiated by the Commission (Trade Commissioner Maroš Šefčovič) and approved by the Council and the Parliament. After months of tension, the EU and the United States agreed a framework in July and August 2025. An EU regulation in force since 1 July 2026 removes duties on US industrial goods, while most EU exports to the US face an all-inclusive US tariff ceiling of 15%; steel and aluminium are excluded and remain subject to higher US tariffs. The EU is also seeking to reduce its dependence on China for critical raw materials, and the Commission has announced a European body to secure and stockpile them.

The 2026 State of the Union

In her State of the Union address on 16 September 2026, President von der Leyen proposed closer ties with Canada, a European Security Council and an emergency protocol against hybrid attacks, the EU Kids Act, a European emergency response framework for migration, measures on critical raw materials and climate adaptation after a summer of record

heatwaves, and a Congress of Europe in 2027 to mark the 70th anniversary of the Treaties of Rome.

Recap: Episode 7

- Strategic Agenda 2024–2029: free and democratic; strong and secure; prosperous and competitive.
- Climate: neutrality by 2050; 90% net cut by 2040; ETS2 from 2028; CBAM definitive since January 2026.
- AI Act: bans since February 2025; high-risk rules now from December 2027 and August 2028.
- Defence: Readiness 2030 (up to 800 billion euros); SAFE loans of up to 150 billion euros.
- Ukraine: 90 billion euro loan for 2026–2027, financed by EU borrowing.
- Migration Pact applies from 12 June 2026. EES live since April 2026; ETIAS due in late 2026.
- Enlargement: Montenegro leads (21 of 33 chapters closed); Albania next; Ukraine and Moldova aim for 2028.
- EU–US: 15% US tariff ceiling on most EU goods; EU duties on US industrial goods removed from 1 July 2026.

Episode 8 · Who’s who, and what to watch

Role	Who (as of 11 Nov 2026)	Note
President of the European Commission	Ursula von der Leyen (Germany)	Second term since 1 Dec 2024
High Representative / Vice-President	Kaja Kallas (Estonia)	Chairs the Foreign Affairs Council
President of the European Council	António Costa (Portugal)	Since 1 Dec 2024; first term to May 2027
President of the European Parliament	Roberta Metsola (Malta)	Mid-term election due early 2027
President of the ECB	Christine Lagarde (France)	Leaving on 7 Feb 2027
Council presidency	Ireland (Jul–Dec 2026)	Then Lithuania, then Greece (2027)
Commissioner for Trade	Maroš Šefčovič (Slovakia)	Also interinstitutional relations
Commissioner for Enlargement	Marta Kos (Slovenia)	
Commissioner for Defence and Space	Andrius Kubilius (Lithuania)	First defence Commissioner
Commissioner for Internal Affairs and Migration	Magnus Brunner (Austria)	
Commissioner for Budget	Piotr Serafin (Poland)	
Commissioner for Climate	Wopke Hoekstra (Netherlands)	

Things that may change before the test

- **The next ECB President**, to be chosen before Christine Lagarde leaves on 7 February 2027.
- **Top jobs in 2027:** the European Parliament’s mid-term presidency election and a decision on António Costa’s second term.
- **The 2028–2034 budget**: whether leaders reach a deal at or after the December 2026 European Council.
- **Enlargement:** Montenegro closing its remaining chapters; any new clusters for Ukraine and Moldova.
- **ETIAS** launch date, and the first months of the Migration Pact.
- **Commission proposals** announced in the State of the Union, such as the EU Kids Act and the European Security Council.

Numbers worth knowing

Number	What it is
27	Member states (and Commissioners)
21	Euro-area countries since Bulgaria joined on 1 January 2026
29	Schengen members (25 EU + Iceland, Liechtenstein, Norway, Switzerland)
720	Members of the European Parliament (2024–2029)

Number	What it is
96 / 6	Most and fewest seats per country in the Parliament
55% + 65%	Qualified majority: share of member states and of population
4	Minimum number of states in a blocking minority
1 million / 7	Signatures and countries for a Citizens' Initiative
2.5 years	Term of the European Council President (renewable once)
8 years	Single term of ECB Executive Board members
2%	ECB inflation target over the medium term
3% / 60%	Deficit and debt reference values (Stability and Growth Pact)
90% by 2040	Net greenhouse gas reduction target vs 1990
15 / 30	Pass mark of the EU knowledge test

Episode 9 · Quick-fire quiz

Read the question, pause for three seconds, then read the answer. This works well as a short standalone episode.

1. How many institutions does the Treaty on European Union list?
Seven: Parliament, European Council, Council, Commission, Court of Justice, European Central Bank and Court of Auditors.

2. Which institution has the right to propose most EU laws?
The European Commission.

3. What is a qualified majority in the Council?
55% of member states, at least 15 of 27, representing at least 65% of the EU population.

4. Who chairs the Foreign Affairs Council?
The High Representative for Foreign Affairs and Security Policy, currently Kaja Kallas.

5. Which country holds the Council presidency in the first half of 2027?
Lithuania.

6. What is the difference between a regulation and a directive?
A regulation applies directly in every member state; a directive sets a result that each member state must achieve through its own national law.

7. Which ruling established the primacy of EU law?
Costa v ENEL, 1964.

8. Which article of the TEU covers withdrawal from the Union?
Article 50.

9. How does the Parliament remove the Commission?
With a motion of censure: two thirds of the votes cast, representing a majority of all MEPs.

10. What is a preliminary ruling?
An answer from the Court of Justice to a national court that asks how EU law should be interpreted (Article 267 TFEU).

11. How is the long-term EU budget adopted?
By the Council, unanimously, after the European Parliament gives its consent.

12. Which country became the 21st member of the euro area, and when?
Bulgaria, on 1 January 2026.

13. What is the EU's 2040 climate target?
A 90% cut in net greenhouse gas emissions compared with 1990.

14. How large is the SAFE defence loan instrument?
Up to 150 billion euros.

15. When did the Pact on Migration and Asylum start to apply?
12 June 2026.

16. Which candidate country is furthest ahead in accession talks?
Montenegro.

17. How many signatures does a European Citizens' Initiative need?
One million, from at least seven member states.

18. Who is President of the European Council?

António Costa, since 1 December 2024.

19. What is the European Semester?

The annual cycle of economic and fiscal policy coordination, ending in country-specific recommendations.

20. Is the Council of Europe an EU institution?

No. It is a separate organisation based in Strasbourg, best known for the European Convention on Human Rights.

Sources

Facts in this guide were checked against these sources in November 2026. Treaty articles are from the consolidated treaties on EUR-Lex. Prep-site summaries were used only where they agree with official sources.

- Official notice of competition EPSO/AD/427/26 (consolidated version)
  https://selection.eu-careers.europa.eu/system/files/2026-07/Notice-of-open-competition-EPSO-AD-427-26_consolidated-version.pdf
- EPSO: EU knowledge test material available two months before the test
  https://selection.eu-careers.europa.eu/en/news/eu-knowledge-test-material-available-2-months-test/19555
- EC Library: selected EU publications for EU careers (reference reading)
  https://ec-europa-eu.libguides.com/eu-careers/eu-publications/selected
- Irish Presidency: Trio programme July 2026 – December 2027
  https://irish-presidency.consilium.europa.eu/en/programme/trio-programme-1-july-2026-31-december-2027/
- European Parliament: 2024–2029 election results by political group
  https://www.results.elections.europa.eu/en/european-results/2024-2029/
- ECB press release: Bulgaria joins the euro (1 January 2026)
  https://www.ecb.europa.eu/press/pr/date/2026/html/ecb.pr260101~c830245e42.en.html
- Euronews: Lagarde explains her early ECB exit (29 October 2026)
  https://www.euronews.com/2026/10/29/i-cannot-remain-neutral-lagarde-finally-explains-her-early-ecb-exit
- European Parliament: 2040 emissions reduction target of 90%
  https://www.europarl.europa.eu/news/en/press-room/20260205IPR33620/eu-climate-law-a-2040-emissions-reduction-target-of-90-for-the-eu
- eucrim: Deliberations on the new EU long-term budget, state of play (June 2026)
  https://eucrim.eu/news/deliberations-on-the-new-eu-long-term-budget-state-of-play/
- European Movement Ireland: The 2028–2034 MFF negotiations
  https://www.europeanmovement.ie/the-2028-2034-mff-negotiations-state-of-play/
- EEAS: Council finalises €90 billion support loan to Ukraine
  https://www.eeas.europa.eu/delegations/ukraine/council-finalises-%E2%82%AC90-billion-support-loan-ukraine_en
- European Commission: SAFE first wave of defence funding (January 2026)
  https://defence-industry-space.ec.europa.eu/commission-approves-first-wave-defence-funding-eight-member-states-under-safe-2026-01-15_en
- European Commission: new migration and asylum rules enter application
  https://home-affairs.ec.europa.eu/news/new-migration-and-asylum-rules-enter-application-what-changing-2026-06-12_en
- European Commission: differences between EES and ETIAS
  https://home-affairs.ec.europa.eu/news/main-differences-between-ees-and-etias-what-travellers-need-know-2026-04-28_en
- EU Perspectives: enlargement progress, November 2026
  https://euperspectives.eu/2026/11/eu-enlargement-candidates-membership-progress-montenegro/
- Eunews: Montenegro closes half its chapters (July 2026)
  https://www.eunews.it/en/2026/07/15/enlargement-montenegro-closes-half-its-chapters-albania-completes-its-first-three-moldova-advances/
- Digital Omnibus on AI: new AI Act dates
  https://www.aiacto.eu/en/blog/digital-omnibus-ai-act-report-2027
- Thomson Reuters: the EU–US tariff framework takes effect (July 2026)
  https://www.thomsonreuters.com/en-us/help/onesource-global-trade/regulatory-insights/2026/july-15th/the-eu-us-tariff-framework-takes-effect.html
- The Parliament Magazine: 10 takeaways from the 2026 State of the Union
  https://www.theparliamentmagazine.eu/news/article/10-takeaways-from-von-der-leyens-2026-state-of-the-union-speech
- Von der Leyen Commission II: members and portfolios
  https://wiki.krisyotam.com/content/wikipedia_en_all_nopic_2026-03/Von_der_Leyen_Commission_II

- EUR-Lex: Treaty on European Union and Treaty on the Functioning of the EU (consolidated)
  https://eur-lex.europa.eu/collection/eu-law/treaties/treaties-force.html